

# First Half 2026: Paid to Wait, Disciplined to Own

Mid-Year Letter | June 2026

| Beginning value | June balance | YTD change | S&P 500 YTD |
|-----------------|--------------|------------|-------------|
| \$507,029       | \$573,428    | +13.1%     | +7.4%       |

Dear Partner,

The first half of 2026 was a useful test of the approach we have described from the beginning: get paid when the market offers reasonable compensation, keep risk understandable, and remain willing to hold cash when the opportunity set does not justify reaching. The result was not driven by a single forecast or a broad market call. It came from a combination of premium generation, short-term collateral income, selected exposure, and discipline around what we were willing to own.

Based on the June 27, 2026 Schwab balance letter, account value increased from \$507,029 at the start of the year to \$573,428, with no deposits or withdrawals. That represents an unaudited year-to-date increase of approximately 13.1%. For context, the S&P 500 was reported up approximately 7.4% year-to-date through June 26, 2026.

## What We Actually Did

The portfolio spent much of the period with a meaningful short-term collateral position. That liquidity was not idle by accident. It supported cash-secured option activity, preserved flexibility, and allowed the account to earn a return on collateral while waiting for better entry points.

Our option activity included cash-secured puts and covered-call style positions tied to businesses and securities we were prepared to underwrite at specific prices. These were not intended as market predictions. They were price-specific obligations where the premium, collateral requirement, expiration date, and underlying exposure could be evaluated in advance.

| Company or security   | Activity                     | Purpose                                                                               |
|-----------------------|------------------------------|---------------------------------------------------------------------------------------|
| <b>Amazon</b>         | Cash-secured puts and calls  | Underwrite ownership at defined prices while collecting premium.                      |
| <b>Microsoft</b>      | Cash-secured puts            | Seek compensated exposure to a high-quality compounder without chasing price.         |
| <b>Walmart</b>        | Cash-secured puts            | Use a defensive, durable business as a potential entry candidate.                     |
| <b>NRG Energy</b>     | Cash-secured puts            | Accept defined obligation only where premium appeared to compensate risk.             |
| <b>Planet Fitness</b> | Puts and calls               | Manage a consumer-business exposure with defined entry and exit points.               |
| <b>ServiceNow</b>     | Cash-secured puts            | Evaluate software exposure at a specific price rather than through open-ended buying. |
| <b>GLD and SLV</b>    | Options and related exposure | Maintain selected precious-metals exposure within the collateral framework.           |

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We also maintained selected exposure outside broad index ownership where the risk/reward appeared more attractive. The common thread was selectivity: we wanted each position to connect back to a clear reason for ownership, income generation, or collateral use.

## Where Returns Came From

Performance came from several sources: option premium, interest and dividends on cash and securities, and market movement in selected positions. Through May 31, account statements reflected \$9,701 of year-to-date dividends and interest, \$49,222 of market appreciation, and \$2,332 of expenses. The June balance letter indicated continued progress after month-end, with account value increasing by roughly \$9,808 from the May statement value.

The important point is that the result was process-driven. We were not trying to maximize activity. We were trying to accept risks that could be defined in advance: the strike price, the expiration date, the collateral required, and the business or security we might own if assigned.

## How We Managed Risk

Options premium is often described too casually. We do not view it as free income. It is compensation for accepting obligation, timing risk, liquidity risk, and the possibility of owning or parting with securities at prices set in advance. For that reason, the first question before selling a put is not, "How much premium can we collect?" The first question is, "Would we be comfortable owning this exposure at the effective price?"

Risk management during the period centered on collateral, sizing, and selectivity. We favored liquid collateral, avoided unnecessary complexity, and kept the portfolio positioned so that patience remained available. Cash is part of the strategy because it gives us the ability to wait, absorb assignment, or pass when the pricing is not attractive.

## Looking Forward

We do not expect returns to arrive smoothly, and we will not manage the partnership around short-term comparisons. The goal is to compound capital carefully over time by combining business judgment, valuation discipline, and emotional control.

Our job is to remain selective. When markets offer attractive compensation for risks we understand, we may act. When they do not, patience is not a lack of activity; it is part of the process.

Thank you for your trust and interest in Chaudhari Partners.

Chaudhari Partners

### Important Notice

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